ARR to recognised revenue, a worked bridge

Larkspur, a fictional SaaS company, for one month. Every figure below comes from one run of the arr-check kit on the fictional set in its example folder; the same month is on measure.indexxero.com/arr-to-revenue.

The month: October 2025

step	monthly	annualised
Recurring revenue on the schedule	72,400	868,800
less: a customer on the schedule with no invoice for the month (Silent Partner Inc)	2,100	25,200
less: schedule above what is billed (Granite Peak Software, 5,000 on the schedule, 4,200 billed)	800	9,600
Recurring revenue supported by invoices	**69,500**	**834,000**
plus: billed, but the schedule shows the customer as gone (Lantern Field Co)	1,400	
plus: billed above the schedule (Quiet Creek Software, 1,300 billed, 1,000 on the schedule)	300	
plus: billed to a customer not on the schedule at all (Orphan Billing LLC)	950	
Revenue recognised for October	**72,150**	

The two halves answer different questions. The top half asks how much of the reported ARR the invoices support. The bottom half asks what the books should show as revenue for the month. A schedule can be too high and too low at the same time, and netting the two would hide both.

Then to the balance sheet

Recognised revenue is the invoice spread over its service period. Billing ahead of service leaves deferred revenue; service ahead of billing leaves unbilled revenue.

month	opening	billed	recognised	closing
2025-08	6,000	70,150	72,150	4,000
2025-09	4,000	70,150	72,150	2,000
2025-10	2,000	70,150	72,150	0

At the end of October the invoices imply no deferred revenue, and the ledger carries 800. It has sat there every month of the year, which points to an old posting rather than this month's billing.

Before an ARR figure goes in a deck, a data room or a lender pack

1. Does every customer on the schedule have an invoice for the month, and is every billed customer on the schedule?
2. For customers on both, does the schedule amount equal the recurring billed amount? Where it does not, is the cause written down (price change, ramp, credit, rebill, timing)?
3. Are credit memos and rebills netted against the month they correct, not the month they were raised?
4. Are one off lines (setup, services, usage overage) kept out of ARR, and still accounted for in revenue? The kit lists them beside the bridge rather than inside it.
5. Are duplicate invoice numbers caught before anything is summed?
6. Does the schedule treat a churned customer as churned in the same month the billing stops?
7. Is ARR stated twice, as reported and as supported, with the difference listed by account?
8. Does recognised revenue for the month come from service periods, not invoice dates?
9. Does the deferred revenue roll forward tie to the ledger balance, and is any difference explained?
10. Can someone else rerun the whole thing from the same exports and get the same numbers?

measure.indexxero.com/arr-to-revenue, with a free deferred revenue template. The kit, MIT licence: github.com/Indexxero/arr-check. Fictional company, synthetic data. Not an accounting opinion.